Cambridge (CIE) A Level Business

Your notes

Market Research

Contents

- The Purposes of Market Research
- Primary Research and Secondary Research
- Market Research Data

© 2025 Save My Exams, Ltd.

Your notes

The main features of a market

Market size

- **Market size** is the **value or volume of sales of all businesses** within a market
  - It can be measured by **sales volume** or **sales value**
    - E.g. in 2024, the UK vinyl record market was worth £159m, with 5.9m units sold, the highest annual level since 1990
- The total size of a market will be a key factor in determining whether it is worth a business entering and competing within it
  - A larger market size suggests **more potential customers**, which means greater opportunities to sell products and earn revenue
  - Knowing the size of the market helps businesses judge whether there is **room to grow** or if the market is already saturated
  - Investors are more likely to support a business operating in a large or growing market, as it promises **better returns**

Market growth

- The speed of growth of a market is another key factor to consider when weighing up whether to enter and compete within it
  - More customers are entering the market, which makes it easier for new or smaller businesses to **gain sales** without taking customers from rivals
  - When demand is rising, **competition tends to be less aggressive** because most firms can grow at the same time
    - This reduces the pressure to lower prices or fight over market share
  - A growing market is a sign that it has **long-term potential**
    - Businesses can plan for future expansion, build customer loyalty early and benefit from rising demand
- Market growth is expressed as a percentage and calculated using the formula

$$\frac{\text{Market size this year} - \text{Market size last year}}{\text{Market size last year}} \times 100$$

Worked Example

Supermarket sales data shows shoppers are putting more plant-based milk in their baskets. In the year to February 2025, market sales were up 2.1%. Oat milk sales have

© 2025 Save My Exams, Ltd.

grown particularly strongly. Annual sales reached £275m in 2024, up from £155m in 2020.

Calculate the percentage increase in the size of the UK oat milk market since 2020.

[2]

Step 1: Subtract 2020 sales from 2024 sales to determine the increase

$$= £275m - £155m$$ (1)

$$= £120m$$

Step 2: Divide the difference by 2020 sales

$$= £120m \div £155m$$

$$= 0.7742$$

Step 3: Multiply the outcome by 100 to determine market growth

$$= 0.7742 \times 100$$ (1)

$$= 77.42\%$$

Your notes

Competitors

- The number and nature of rivals in a market is a key consideration for a business looking to enter and compete within a market
  - The level of competition affects pricing and profitability
    - If there are **many competitors**, prices are often lower because businesses compete to attract customers. This can reduce profit margins.
      - E.g. A new café in a street full of other cafés might struggle to charge higher prices or attract loyal customers.
  - Many rivals makes It harder to stand out
    - In markets with many similar businesses, it can be difficult to offer something different or unique.
      - E.g. A new clothing brand may find it difficult to stand out in the fast fashion market unless it offers something distinctive, like sustainable materials or custom designs
  - Strong, well-established competitors are hard to challenge
    - If existing businesses have **strong brands, loyal customers** or **economies of scale**, it can be difficult for new firms to compete.
      - E.g. A small soft drink company would find it very hard to take market share from Coca-Cola or Pepsi

Market research, customer characteristics, profiles, wants and needs

Your notes

- **Marketing research** is the process of finding out information about the market in which a business operates by **collecting**, **presenting** and **analysing information** about **customer characteristics**, their **profiles** and their **wants and needs**

Market research, consumer characteristics and profiles

- **Market research gathers data directly from potential and existing customers** using methods such as surveys, interviews, focus groups, and observation
  - This helps businesses learn about who their customers are and what they want.
- It can identify **consumer characteristics** such as:
  - Age
  - Gender
  - Income level
  - Occupation
  - Location
  - Lifestyle, tastes and preferences
- This information is then used to create **customer profiles**, which are detailed descriptions of target customers
  - E.g. A customer profile might describe a typical buyer as a 30–year-old, urban, environmentally conscious professional who shops online and prefers sustainable products

The importance of identifying consumer characteristics and profiles

Benefit	Explanation
Improves targeting and promotion	▪ By understanding who the customer is, businesses can design marketing messages that are more likely to appeal to them
Helps design better products and services	▪ Knowing what customers value enables businesses to develop products that match their needs more closely
Supports market segmentation	▪ Customer profiles help divide the market into meaningful groups, making it easier to meet the needs of each segment effectively

© 2025 Save My Exams, Ltd.

Increases customer satisfaction and loyalty	▪ When customers feel understood and valued, they are more likely to return and recommend the brand to others
Reduces marketing waste	▪ Targeting the right people avoids spending money on those who are unlikely to buy the product.

Your notes

Market research and understanding customer needs and wants

- Effective research can help a business **understand customer needs and wants**
  - They can then ensure that the products, as well as the price and location at which they are sold, closely match what customers want to buy

What market research can discover

Marketing research can provide insights on customer behaviour

Insight	Example
What do they want?	▪ **Cadbury** tracked Facebook groups and YouTube comments where thousands of fans begged for the old *Wispa* bar ▪ Seeing a clear demand, Cadbury relaunched **Wispa** in 2008 — and sold 20m bars in the first seven weeks
How much will they pay?	▪ A 2023 UK study found that **Netflix** subscribers would still stay if fees rose a little, showing that price elasticity was very low
How does promotional activity affect them?	▪ **Aldi** measured weekly sales and social media feedback during its 2023 "Kevin the Carrot" Christmas advertising campaign ▪ The data showed a sharp jump in festive food sales and a gain in market share, proving that the cartoon character encourages shoppers into stores
Where will they buy the product?	▪ Office for National Statistics (ONS) data shows online now makes up around 26% of UK retail sales ▪ Grocers such as **Morrisons** have adjusted by adding more home-delivery slots.
When will they want products	▪ **Starbucks** tracks autumn demand data and now launches its Pumpkin Spice Latte in late August because sales jump immediately
Why do they choose products?	▪ A 2023 UK survey found 82% of shoppers will pay more for **eco-friendly packaging**, encouraging brands towards greener materials
What influences their buying choices?	▪ A 2023 UK report by **Traakr** found that social media influencers now sway buying choices for half of 18–34-year-olds

Your notes

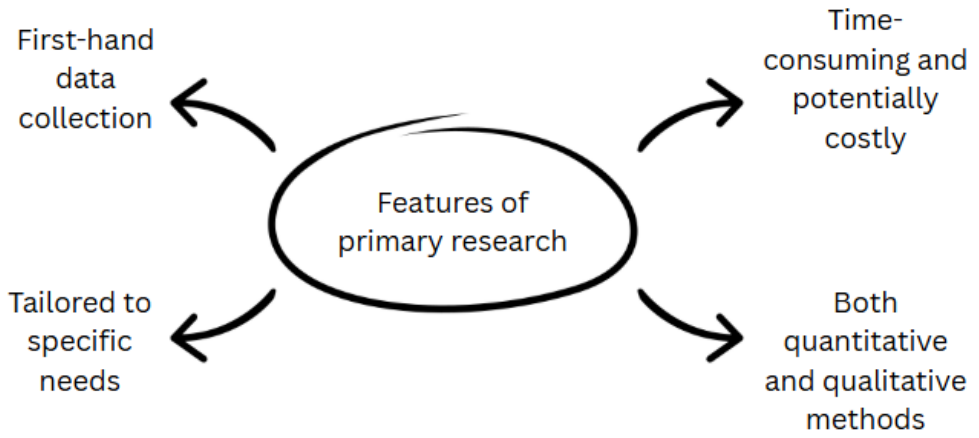
Your notes

The features of primary and secondary research

Primary research

- **Primary research** is the process of gathering information **directly from consumers** in the target market using field research methods such as surveys and interviews

Common features of primary research



Primary research data is first-hand and tailored to specific needs

- **First-hand data collection**
  - Primary research involves gathering new information directly from people, rather than using existing sources
- **Tailored to specific needs**
  - The questions and methods are designed to collect information that is directly relevant to the business's goals
    - *E.g. A restaurant could ask customers what new dishes they'd like added to the menu*
- **Time-consuming and potentially costly**
  - Collecting and analysing primary data takes time, money, and effort, especially for large samples
    - *E.g. Organising focus groups or conducting interviews may require trained staff and payment to participants*
- **Includes both quantitative and qualitative methods**
  - Primary research can gather numerical data (quantitative) or opinions and attitudes (qualitative)

© 2025 Save My Exams, Ltd.

- *E.g. A business may run a questionnaire with rating scales and follow-up interviews for deeper insight*

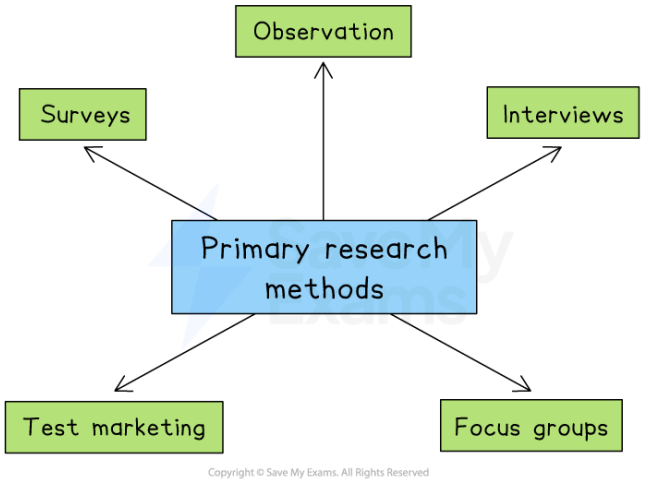
Your notes

Secondary research

- **Secondary research** involves the collection, compilation and analysis of data that **already exists**
  - It is likely to have been collected for a **broad purpose** by another organisation, such as the government or a research specialist
  - Since the data is already available, it's usually **faster** and often **cheaper** to access than primary research
    - *E.g. downloading a report on consumer habits from a trade organisation's website may be free or low-cost*

Usefulness of primary market research data

- Businesses can choose from a **range of primary marketing research methods** and may combine a selection of methods to obtain comprehensive first-hand data



Primary research methods include surveys, observation, interviews, test marketing and focus groups

Surveys

- The most widely used method for gathering primary research data is sampling through surveys
  - A series of questions are posed to a certain number of people **(respondents)**
  - The results from the "sample" are used to make **inferences**, which tare **extrapolated** to be true for the wider population

Advantages	Disadvantages
▪ A **large amount** of data can be collected relatively **quickly**	▪ Poorly designed and conducted surveys will result in poor results

▪ Well-designed surveys can be **completed easily by the respondents**, especially online surveys	▪ Poor response rates are typical, especially when a **random sampling** method is used

Your notes

Observation

- This involves hiring someone to stand in an appropriate location and **study consumer behaviour** in a store or perhaps judge the potential consumer traffic at a particular location
  - Researchers may observe the impact of packaging or the particular **placement of a product** in a store on consumer choice

Advantages	Disadvantages
▪ A useful method to capture data on **human behaviour** ▪ **Large numbers** can be observed in a **short period of time**	▪ Observation needs to be **combined with other primary research methods** to understand the causes of behaviour

Interviews

- The questions may be set up in a very similar way to a survey; however, an interviewer asks the questions
- This method **takes longer**, but it does allow the interviewee to ask **follow-up questions** and gather information that might easily be missed when conducting surveys

Advantages	Disadvantages
▪ In-depth question elicit **detailed opinions and perceptions** from participants ▪ **High response** rates can be achieved	▪ A **time-consuming** process, as interviews are carried out one-on-one ▪ Interviewer **bias** can affect the validity of results

Test marketing

- Free samples are provided to the target market for a limited period to **gauge their response to the product**
- Adjustments to the product or other elements of the **marketing mix** can be made following feedback

Advantages	Disadvantages

▪ Perceptions and opinions can be gathered **prior to a full product launch** ▪ Can attract **early attention** from potential customers	▪ Producing and distributing free samples can be **expensive** ▪ **Competitors may become aware** of new products to be launched

Your notes

Focus groups

- A marketing specialist leads free-form discussions to collect **detailed feedback** from the target market on all aspects of the **marketing mix**
- Usually limited to a small group of 12–15 people
- The group typically meets for 90 minutes to 3 hours

Advantages	Disadvantages
▪ **Detailed information** on opinions and perceptions can be gathered ▪ Small groups make focus groups relatively **easy** and **inexpensive** to organise	▪ Participants may be **reluctant to share their true opinions** in a group situation ▪ Rewards for participation make focus groups **more expensive than other methods** such as surveys or observation

- Businesses must choose a primary marketing research method that allows them to **capture the correct form of data** that can support decision-making
  - Each method has a range of advantages and disadvantages, which must be considered when making this choice

Evaluation of primary marketing research

Advantages	Disadvantages
▪ Information gathering is **focused on the needs of the business** and will not be available to its rivals	▪ **The sample size may be too small** and unrepresentative of all of the customers, leading to unreliable results
▪ The business can get **in-depth information** from respondents, e.g. reasons behind certain behaviour	▪ **Bias** may mean that researchers can guide respondents to **answer questions in a particular way** ▪ Similarly, respondents may be influenced by the responses of others or not provide accurate information
▪ Primary marketing research is **more up-to-date** and can be used to **ask**	▪ A business **may need to hire a specialist marketing research agency** to help, which

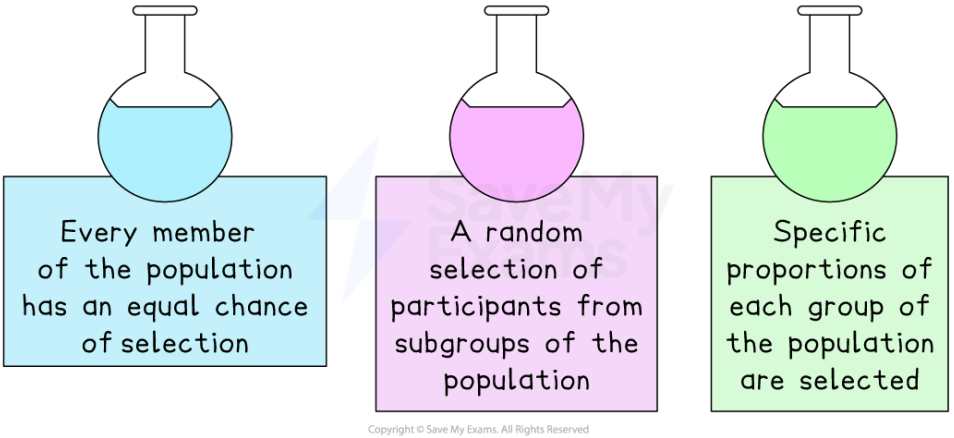
specific questions, making it more relevant	can be an **expensive and time-consuming** process

Your notes

Sampling

- Sampling involves **getting opinions from a selected group of people** in order to find out about the market as a whole
  - It is **expensive** and **time-consuming** to collect data from all customers in a market
  - Marketing researchers use carefully designed sampling methods from which **conclusions can be drawn about the market as a whole**
  - In general, the **larger the sample size**, the more likely that results from marketing research activities will **reflect the market as a whole**

The main sampling methods: random, stratified and quota



Sampling methods include random, stratified and quota

Random sampling

- This method ensures that **every member of the population has an equal chance** of selection
  - E.g. a survey of gym members may be sent to a random selection of customers taken from the membership database

Stratified sampling

- This method involves the **random selection of participants from subgroups** of the population, such as age, gender, income level or education groups
  - E.g. a survey of school pupils may be carried out only on Year 10 girls

Quota sampling

- This method obtains a **representative sample** by determining **specific proportions of each group of the population** upon which to carry out research

- E.g. a researcher conducting a survey for a family car manufacturer may seek to interview a sample comprising 25% of individuals aged 18–24, 50% aged 25–45 and 25% aged 46 and above

Your notes

The choice of sampling method

- The choice of sampling method will depend upon a wide range of factors
  1. **Time available**
     - Where **little time is available** to carry out marketing research, a **random sample** may be most appropriate, as it is usually very quick and straightforward to organise
  2. **Knowledge of the target population**
     - Where a business has **good knowledge of the target population,** a **quota sample** should provide a set of research data that lacks bias
  3. **Skills of researchers**
     - Where researchers **lack experience or expertise** in marketing research, a focused **stratified sample** is likely to provide a useful set of data that can be easily interpreted

Limitations of sampling

- The sample **might not reflect the views of the whole target market**
  - If the group chosen for the research is too small or not diverse enough, the results may not represent the wider population
  - This can lead to incorrect assumptions about customer preferences or behaviour
    - E.g. If a sportswear company only surveys customers in one city, it may miss preferences in other regions
- Sampling can be **biased** if certain groups are over- or under-represented
  - When the sample includes too many people from one group and too few from another, the results become unbalanced
  - This kind of bias can happen by mistake or due to poor sampling methods
    - E.g. If a technology company surveys only younger people online, it may ignore the views of older customers who shop in-store
- **Human error** can reduce the reliability of the findings
  - Mistakes in how the sample is selected, how questions are asked, or how responses are recorded can affect the accuracy of the research
    - E.g. An interviewer may ask leading questions, or a poorly designed questionnaire might confuse participants

© 2025 Save My Exams, Ltd.

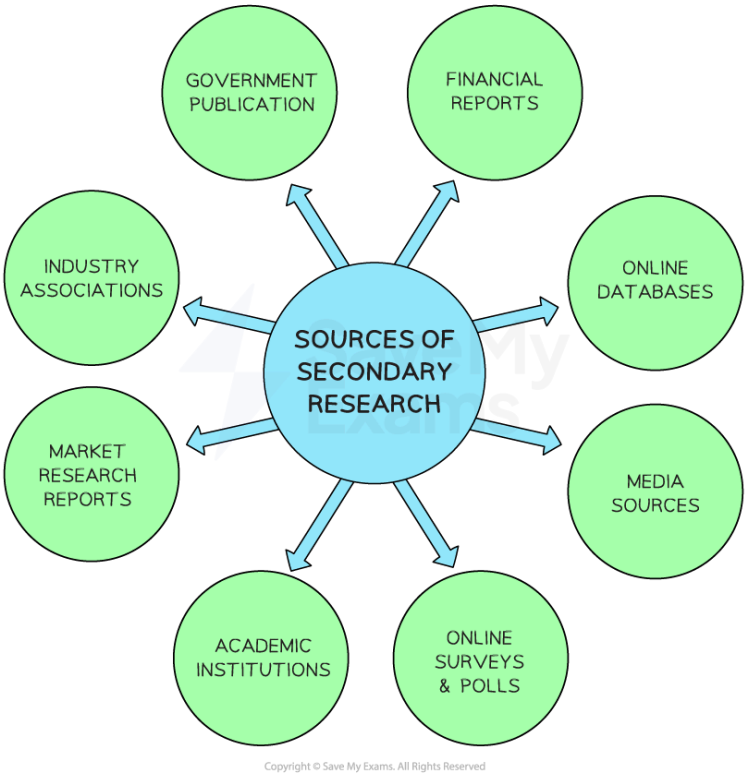
Examiner Tips and Tricks

A research population refers to the group of people in whom the business has an interest when conducting marketing research — a common mistake is to assume that research focuses on, say, the whole population of a country or region.

Your notes

Usefulness of secondary market research data

Sources of secondary research



Businesses can consult a wide range of secondary sources to gather marketing research data

Source	Explanation
Government publications	▪ National governments and **trading blocs** such as the **EU** publish reports and statistics on the economy, demographics, industry trends and consumer behaviour
Academic institutions	▪ Universities conduct studies and publish research papers that provide insights and data on specific industries, consumer behaviour and market trends ▪ For example, **Stanford University** is a globally significant research centre for engineering and medicine

Industry associations	▪ Trade and industry associations provide detailed information about specific sectors, including market size, growth rates and industry **benchmarks** ▪ E.g. the **International Organisation of Motor Vehicle Manufacturers** conducts and collates research on production and sales statistics
Marketing research reports	▪ Companies specialising in marketing research produce and sell in-depth reports on industries, markets and consumer trends ▪ E.g. **Mintel** is one of the leading private companies supplying marketing research information
Financial reports	▪ Public limited companies publish annual reports that can provide valuable information about a company's performance, market position and future plans
Media sources	▪ Newspapers, magazines and online forums publish opinion pieces and investigative reports that offer insights into market trends, consumer behaviour and industry developments ▪ E.g. the **Financial Times** and **The Wall Street Journal**

Your notes

Advantages of secondary marketing research

- Information is **already available** and is **quicker to collect** than primary research, thereby saving time
- Information is often free (e.g. government websites and internet sources such as Statista) or **cheap to collect**, leading to **lower costs** compared to primary research
- Suitable for a **small business** that lacks a large marketing **budget** and/or expertise

Disadvantages of secondary marketing research

- Information has been collected for other purposes, so it **may lack relevance** or may **not be** factually correct, e.g. Wikipedia
- Can be **expensive** to purchase market-specific secondary data from specialist companies, e.g. Mintel reports
- **Information may be out of date**, especially in **dynamic** markets

Your notes

Reliability of market research data

- Market research is a valuable tool that helps businesses **make informed choices** about, for example, product development, pricing and promotion
- However, if the data collected is unreliable, it can lead to **poor decisions** that waste time, money and resources

Why market research data can be unreliable

Reason	Explanation	Example
Respondents may not give truthful or accurate answers	▪ People might give answers they think sound good, rather than what they truly believe. Others may guess or not take the questions seriously	▪ A customer claims they would buy an eco-friendly product to appear responsible, but they don't actually plan to
Questions may be poorly designed or unclear	▪ If the wording is confusing, too vague, or biased, responses can be inconsistent or misleading	▪ A survey asking "Do you like affordable luxury?" may be interpreted differently by each person
Secondary data may be outdated or collected for a different purpose	▪ Existing data might not reflect current trends, or it may have been gathered with different goals in mind	▪ A business uses a 2019 report on travel habits, which doesn't reflect post-pandemic behaviour
Data collection methods may be inconsistent or poorly managed	▪ Mistakes in how the research is conducted, recorded or analysed can reduce reliability	▪ An interviewer forgets to record some answers or enters the wrong data into a spreadsheet

Analysis of quantitative and qualitative market research data

Quantitative data

- **Quantitative data** is based on numbers
  - It could include financial reports (e.g. sales, costs), market data (e.g. market share) or summaries of data gained from primary research (e.g. on a scale of 1–10, rate our customer service)

© 2025 Save My Exams, Ltd.

- It is beneficial for a range of reasons
  - Percentages, scores, or yes/no answers are straightforward to organise, compare and present using graphs or charts
  - Large amounts of numerical data can reveal clear patterns in customer behaviour over time
    - E.g. A clothing retailer may notice that online sales increase by 20% every November, helping them plan future promotions

Your notes

Analysis of quantitative data using mean, median, mode and range

Term	Definition	How to calculate	Example
Mean	▪ The average of a set of numbers	▪ Add all the numbers together, then divide by how many numbers there are	Data: 4, 6, 8 Mean $= (4 + 6 + 8) \div 3 = 6$
Median	▪ The middle value when the numbers are in order	▪ Arrange the data from smallest to largest and find the middle number	Data: 3, 5, 7 Median $= 5$ Data: 3, 5, 7, 9 Median $= (5 + 7) \div 2 = 6$
Mode	▪ The number that appears most often	▪ Find the value that repeats the most in the data set	Data: 2, 4, 4, 5 Mode $= 4$
Range	▪ The difference between the highest and lowest values	▪ Subtract the smallest number from the largest	Data: 2, 7, 9 Range $= 9 - 2 = 7$

Qualitative data

- **Qualitative data** gathers descriptions or explanations

© 2025 Save My Exams, Ltd.

- These can be based on conversations, discussions, impressions and emotional feelings and are usually gathered through primary research
- It helps businesses understand not just what customers do, but why they do it
- By listening to detailed customer feedback, businesses can make meaningful improvements to products or services based on real user experiences
  - E.g. A technology company might learn from a focus group that users find a mobile app too complicated, leading to changes in layout and features

Your notes

Analysis of qualitative data

- Businesses often analyse qualitative data through a process called **coding**
  - This is where **similar responses or themes are grouped together**, so the business can identify patterns and common issues
  - Each theme is given a code to make it easier to sort and compare

Case Study

Coding in action

A mobile phone company collects hundreds of open-ended survey responses asking customers what they like or dislike about a new handset

Marketing researchers read through the comments and assign codes:

- "BAT" for battery life
- "CAM" for camera quality
- "EAS" for ease of use
- "DES" for design and appearance

© 2025 Save My Exams, Ltd.

After coding the responses, they may notice that many customers mention "BAT" (battery life) negatively

The business can then use this insight to **improve the battery** in the next version of the product

They may also **adjust their marketing** to focus on features that customers value more positively

Your notes

Limitations of quantitative and qualitative research data

Limitations of quantitative data	Limitations of qualitative data
▪ Numerical data **may be out-of-date**, especially in dynamic markets ▪ **Data analysis and interpretation** is a complex skill that is likely to be lacking in smaller businesses ▪ Looking at a small amount of data and then **extrapolating** results can provide wrong assumptions on which to base decisions ▪ Numerical data does not provide reasons for outcomes, e.g. data may reveal sales volumes are falling but **not the reason for the decline**	▪ **Bias** may mean that analysts can **interpret responses in a particular way** ▪ Respondents may **lack awareness or language skills** to explain preferences accurately ▪ Respondents in **focus groups** may be influenced by the responses of others or not provide accurate information ▪ Qualitative data is **difficult to present in graphs and charts,** so it may not be easily understood

Interpretation of tables, charts and graphs

1. Tables

- Tables summarise data in an **organised** form

SALES (£m)

Product	Jan–Mar	Apr–Jun	Jul–Sep	Oct–Dec
KP4000	1.45	1.51	1.61	1.57
FlashMaster	2.02	2.10	2.25	2.18
Swift Vue X	0.94	1.01	1.08	1.04
LumoLens	1.14	1.19	1.15	1.12

Copyright © Save My Exams. All Rights Reserved

A table summarises data in an organised form

- The table shows that:
  - **Flashmaster** generates the **highest sales** in each period
  - Sales of **LumoLens** are **lower at the end of the year** than at the start of the year

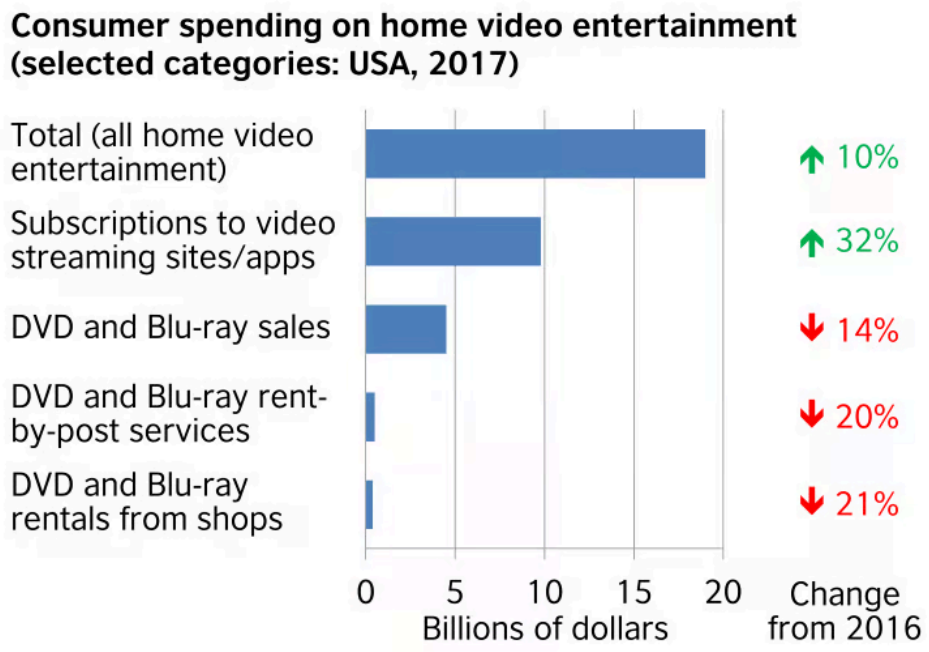
Your notes

2. Graphs and charts

- Data contained in graphs and charts can be important sources of marketing research
- Data may be presented in a range of forms

Bar charts

- **Bar charts** show data that are independent of each other, such as sales per store

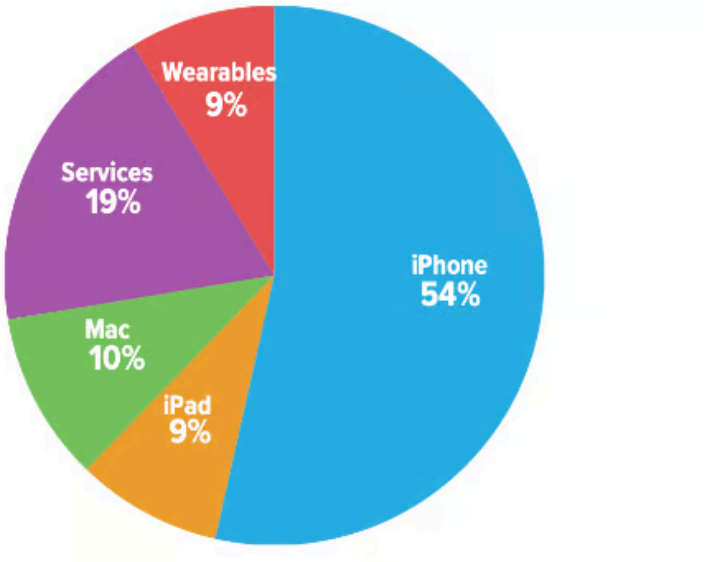


A bar chart showing sales revenue for a selection of home video entertainment formats in the USA in 2017 (Source: British Council)

Pie charts

- **Pie charts** show how a whole is divided into different elements, such as total sales divided amongst different product types

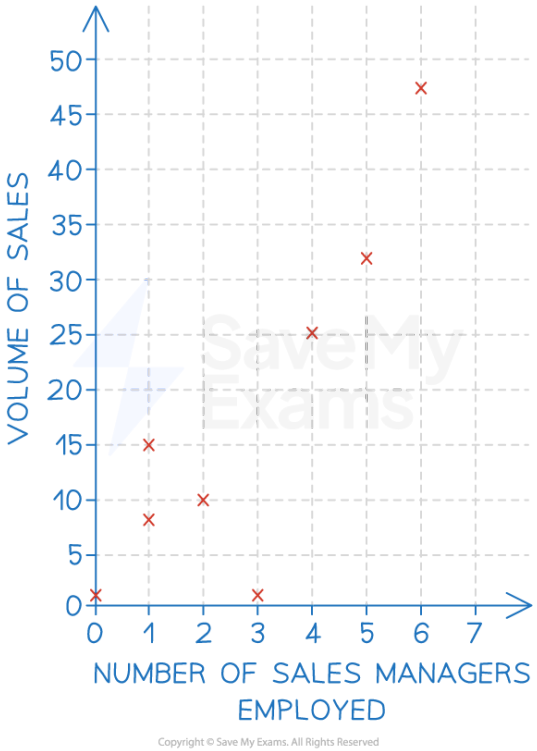
Your notes



A pie chart showing Apple's quarterly revenue by category in April 2021 (Source: Six Colours)

Scatter graphs

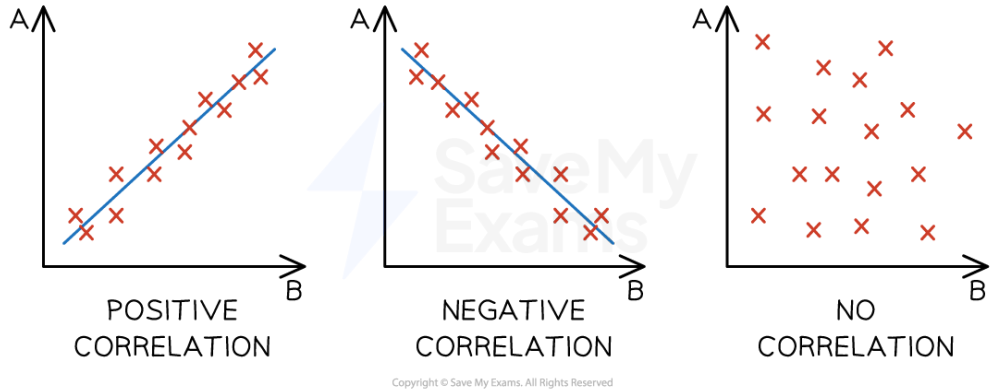
- Scatter graphs allow businesses to compare **two variables**, such as sales volume and **advertising**, to establish if there is any **correlation** between them



A scatter graph showing the number of sales managers employed by a business and the volume of items sold

- A correlation exists where there is a **relationship** or **connection** between the two variables in a scatter graph
  - A **positive correlation** means that **as one variable increases, so does the other variable**
    - A **line of best fit** that **slopes upwards** can be identified
  - A **negative correlation** means that **as one variable increases, the other variable decreases**
    - A **line of best fit** that **slopes downwards** can be identified
  - **No correlation** means that there is **no connection** between the two variables
    - It is not possible to identify **a line of best fit**

Correlation types



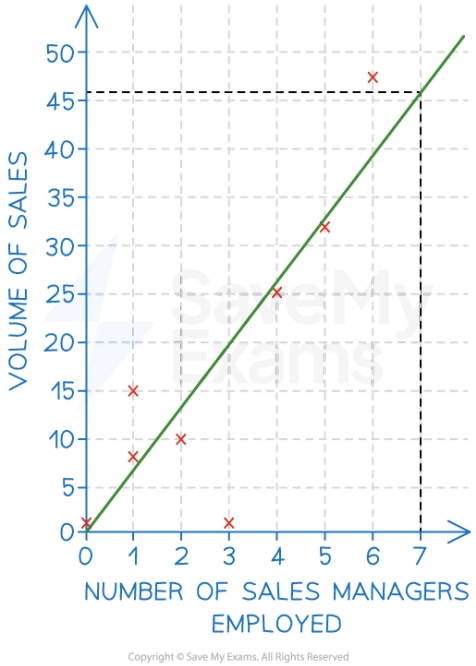
The main types of correlation between two variables: positive, negative and no correlation

- Where a **line of best fit can be identified** and when **causation** is determined, a business can **extrapolate** data to make **predictions** around changes to either of the variables
  - E.g. extrapolation of the line of best fit in the example below means that the business could predict that **employing seven sales managers would likely result in sales of 46 units**

Extrapolation using a line of best fit

Your notes

Your notes



A scatter graph with a line of best fit showing the number of sales managers employed by a business and the volume of items sold

Examiner Tips and Tricks

When drawing a line of best fit, you should try to include as many data points above the line as below the line

Watch out for outlying data — if there is more than one outlier above the line, adjust your line of best fit upwards

Similarly, if there is more than one outlier below the line, adjust your line of best fit downwards. Just one outlier should not influence your line of best fit